

times these currencies, usually in the form of banknotes, function as a written statement of promise or contract between governments and those who possess the notes. This can be seen on the Indian currency with the words - “I promise to pay the bearer the sum of X rupees” - which is signed by the Governor of the Reserve Bank of India. The currency in this sense functions as a bond of trust, which is key assurance of value that national currencies enjoy.

History of Value in Currency

Currencies as stores of values are critical for national and international economies. But the question of their value is constantly under debate. What makes the US dollar so much more valuable when compared to the Somali shilling (15,000 Somali shillings for 1 USD in May 2013)? Where do currencies get their value from? To first understand the notion of value it is important to note the history of money and nations.

The early form of money that found widespread acceptance was in the form of precious metals - gold and silver. The desirability of these metals across diverse cultures made them the ideal medium of stored value. Traders from different parts of the world could securely trade goods and services for pieces of gold and silver. But as the scale of trade increased across distances and quantity it wasn't practical or safe for traders to carry around hundreds or thousands of valuable metal pieces with them. They were just too heavy.

In order to simplify this problem without disrupting trade the concept of “notes” was created. First used in 8th century China, a piece of paper was created to represent the value of the metal coins that were to be traded. However these “notes” needed to be guaranteed by a trustworthy party, which is where banks came into existence. Traders usually travelled back and forth between fixed locations and made diverse trades with many people. So banks would hold the coins for traders and issue them “notes” that were accepted by other parties who trusted the banks. The building of trust was therefore the banks job and this led to banks having branches in various cities so they could process trade.

Trader A would typically deposit X number of coins in a bank and receive a “notes” of that value. When making a trade, A would pay Trader B using the “notes” issued to him by the bank in his city. When trader B went to trader A's city the same note could be used to pay. As long as all parties involved trusted the bank trade could carry on. Over time this system became more efficient to account for various possibilities such as “what if trader B didn't go